



The Indian luxury car market has two sets of customers. One has consumed luxury since childhood. The second is a first-timer. For Mercedes-Benz, both are equally important for the growth of the market. Santosh Iyer, MD & CEO, Mercedes-Benz India, discusses the evolution of luxury in the Indian market in an interview with Chetan Bhutani. Edited excerpts:

CB: Has the meaning of luxury changed for Indians from owning something expensive to experiences, personalisation, or even eco-friendly values? What does luxury mean for Mercedes-Benz?

SI: I keep quoting Coco Chanel in many of my thoughts to our teams as well our partners: Luxury starts when necessity ends. Most of our customers have multiple vehicles, and it is an additional car for them. You must look at luxury from that perspective. For example, to go from point A to point B, you can have multiple solutions.

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But you need a Mercedes-Benz to do it in the right way, and in the most comfortable and safest manner. This is where the price goes up.

When you look at the price-value equation for the luxury customer, he is not buying expensive, he is buying the right value. He can afford it. That is the difference. Luxury customers can afford these goods and services. And that is the reason—be it watches, cars, or any other category—they continue to consume.

In India, we have two sets of customers. One is a luxury dweller. They are born into rich families. They have consumed luxury in childhood. They have a much better taste, and they understand cars as well.

The second is the first-time entrant into luxury. Someone who has been dreaming of a Mercedes-Benz and wants to fulfil that dream. They also do a lot of research but are super price sensitive. Both groups are equally important for the growth of the market.

On the second part: luxury is going beyond the product. It is also about what kind of curated and bespoke experiences we can give. It is not just limited to the product offering. I have customers buying Mercedes-Benz cars one week before the Mercedes-Benz Trophy because they want to play golf.

Today’s customers are ready to go to great lengths for experiences. Therefore, it goes beyond the product to retail experiences as well. It is not just about events and promotions but also what experience I get with my retail partner.

CB: Is India now at a point where luxury is no longer for a few, but for many more people? What is driving this: higher incomes, aspirations, social media, or lifestyle changes?

SI: The fundamental reason for growth is per capita GDP. If you look at 2014, India’s per capita income was \$1,450. Today it has gone up to \$2,700. So clearly, with more wealth being created, there is a propensity to spend and an ability to spend. The propensity to spend comes from a lot of social media, a lot of lifestyle aspirations. The Covid-19 pandemic also created a big behavioural impact. Yes, we need to save, but why can’t we spend? So, it is a coming of age.

I still feel we are a long way from a significant consumption pattern. But this is what will happen: when you look at India’s economic growth from a \$3-3.5 trillion economy to a \$7 trillion economy, the per capita GDP will be \$5,500-6,000. You will see almost a doubling of luxury sales.

The brand is always aspirational, but the fundamental layer is economic development and money.